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LIC/PGS/P1/2025-26/31/Eng

Airfares to US, Europe up after capacity cut on West Asia crisis

SHARP SPIKE. Limited flights push ticket costs as Gulf-based carriers suspend ops

T E Raja Simhan
Chennai

Airfares from major Indian cities to Europe and the US have surged sharply following the West Asia crisis as Gulf-based carriers have suspended operations, forcing passengers to rely on European, South-East Asian and other international airlines.

Economy fares have more than doubled and, in some sectors, even tripled. Tickets that earlier cost around ₹75,000-₹86,000 for connecting flights to the US are now priced between ₹1.5 lakh and ₹2.45 lakh, depending on the airline and the route. “The fare that used to be a round-trip is now one way,” travel agents said.

TICKET SPIKE

P Venkateshwaran had booked a ticket to London a month ago with Kuwait Airlines for nearly ₹30,000. However, after the flight was cancelled, he had to pay ₹1.25 lakh to fly on Ethiopian Airlines via Addis Ababa. “There is very limited choice available, and most flights are operating at full capacity,” he said.



COSTLY DETOUR. Some passengers are cancelling earlier bookings over safety concerns and rebooking on alternative routes at higher fares SHIV KUMAR PUSHPAKAR

Travel agents said economy class fares from Bengaluru and Chennai had risen two to three times their earlier levels across several international carriers as flight capacity had shrunk.

According to Devaki Thiagarajan, Managing Director of the Chennai-based Avocet Tours & Travel Pvt Ltd, fares on the Bengaluru-San Francisco route via Singapore operated by Singapore Airlines have risen from ₹78,537 to ₹1,51,469.

On the Bengaluru-Hong Kong-Los Angeles route operated by Cathay Pacific, fares have surged from ₹80,961 to ₹2.45 lakh. Similarly, on the Bengaluru-Frankfurt-New York route operated by Lufthansa, fares have climbed from ₹80,932 to ₹2.32 lakh.

A similar trend is also seen for departures from Chennai.

The Chennai-Singapore-San Francisco route on Singapore Airlines has seen fares rise from ₹80,717 to ₹1.58 lakh. On the Chennai-Hong Kong-Los Angeles route operated by Cathay Pacific, fares have increased from ₹86,746 to ₹2.44 lakh, she said.

Fares on the Chennai-Frankfurt-New York route operated by Lufthansa have climbed from ₹75,356 to ₹2.28 lakh. The Chennai-London direct flight operated by British Airways has also seen a sharp increase,

with economy fares jumping from ₹43,420 to ₹2.28 lakh, she added.

ROUTE DISRUPTIONS

Connectivity through Asian hubs remains limited. Airlines such as Cathay Pacific, Singapore Airlines and Malaysia Airlines offer fewer international connections from their hubs, mainly to destinations such as Australia and Los Angeles.

Thai Airways connects to the US but does not operate services to the UK or Europe on those routes, she said.

Anjani Kumar Dhanuka, Director of Kolkata-based Aircom Travels Pvt Ltd, said it had become difficult to secure seats to Europe or the US.

“Passengers are ready to pay ₹5 lakh or ₹6 lakh for a one-way ticket, but getting a seat on a flight that can safely reach the destination is almost impossible,” he said.

Apart from airline cancellations, some passengers who had booked earlier are choosing to cancel due to safety concerns and rebook through alternative routes at significantly higher costs, he said.

PMO calls meeting on CAFE-3 draft amid concerns over small car costs

S Ronendra Singh
New Delhi

The Prime Minister’s Office (PMO) is set to finalise the draft proposals for the next phase of the Corporate Average Fuel Efficiency (CAFE-3) norms. A meeting has been convened to give final touches to the proposals by the Principal Secretary in the PMO, Shaktikanta Das, on Monday.

While an inter-ministerial group submitted a nearly finalised draft to PMO Advisor Tarun Kapoor on February 25, sources indicated that a more detailed presentation has been requested for Monday’s meeting.

KEY MEETING

Sources aware of the developments told *businessline* that representatives from the Bureau of Energy Efficiency (BEE) under the Ministry of Power (MoP), the Ministry of Road Transport & Highways (MoRTH), the Ministry of Heavy Industries (MHI) and the Ministry of Petro-



MARKET WARNING. Industry veterans argue that the proposals could mislead the PMO by introducing stricter norms for small cars

leum and Natural Gas (MoPNG) will be part of this high-level meeting at the PMO, where the ongoing debate over small and big cars is expected to take centre stage once again.

This time, the proposals consider two approaches for small cars: A technology derogation allowing up to 9g CO₂/kg of emissions at a cost of ₹15,000 for FY2028-30 or a more stringent approach costing between ₹32,000 and ₹40,000 starting in FY2031-32, an official privy to the details told *businessline*.

The BEE, in September 2025, released a revised draft of the CAFE-3 standards for four-wheelers, which was expected to come into effect from April 1, 2027, until March 31, 2032. But there have been revisions since then, especially concerning small cars.

In the September 2025 draft, the slope (as per formula) was set at 0.002 litres/100 km per kg with a reference weight of 1,170 kg. But, in the revised draft, the slope has been lowered to 0.00154 litres/100 km per kg, further declining to 0.00128 litres/100 km per kg in 2031-32. But the reference weight is updated to 1,229 kg which, according to experts, does not significantly alter the outcome.

In its upcoming submis-

sion, the PMO will review the added differential cost metrics, which outline the financial impact of implementing various CO₂ mitigation technologies.

PRICE IMPACT

However, industry veterans argued that these proposals may mislead the PMO by introducing stringent norms for small cars, a regulatory approach that is not followed in developed markets such as Europe, China, Japan or South Korea.

“The differential cost of ₹15,000 would translate to nearly ₹50,000-60,000 per car at the showroom. That would be passed on to the customers. That affects affordability. Prices of small cars could rise again to the pre-GST 2.0 reforms era,” said an industry veteran.

He added that this logic brings the proposed standards ‘back to square one,’ effectively penalising small, entry-level cars with stringent norms while allowing larger, fuel-heavy utility vehicles to benefit under the CAFE-3 framework.

Assembly polls in 4 States, Puducherry between April 9 and 29, results on May 4

Rohit Vaid
New Delhi

The Election Commission of India on Sunday announced the schedule for the Assembly elections in West Bengal, Tamil Nadu, Assam and Kerala, along with the Union Territory of Puducherry.

Polling will take place in all places between April 9 and April 29, while the results will be declared on May 4. The Assembly elections in West Bengal will be held in two phases — on April 23 and April 29 — while Tamil Nadu will vote in a single phase on April 23.

Polling will be held in Kerala, Puducherry and Assam on April 9 in a single phase. Alongside these key Assembly elections, several States will also see by-elections.

The voting for by-elections will take place on April 9 in Goa, Karnataka, Nagaland and Tripura, while Gujarat and Maharashtra will hold their by-elections on April 23. The counting of votes for all

Poll calendar				
State/ UT	Polling date	Result date	Total seats	Registered voters (approx.)
Assam	April 9	May 4	126	2.25 crore
Kerala	April 9	May 4	140	2.7 crore
Puducherry	April 9	May 4	30	9.44 lakh
Tamil Nadu	April 23	May 4	234	5.67 crore
West Bengal	April 23 & April 29	May 4	294	6.44 crore

Source: ECI

these elections will take place on May 4.

DEMOCRACY EXERCISE

Announcing the schedule at a conference in Delhi, Chief Election Commissioner Gyanesh Kumar said the upcoming elections represent a major democratic exercise involving millions of voters across the country.

Kumar highlighted the revision of electoral rolls carried out ahead of the polls, saying the Commission had undertaken the Special Intensive Revision (SIR) to ensure the integrity of voter lists.

“Pure electoral rolls are the bedrock of any democracy. With this objective, the SIR is being conducted as per Article 326 of the Constitution to ensure that no eligible elector is left out, while no ineligible person is included in the electoral rolls,” he said.

CODE ENFORCED

Replying to a question about the Model Code of Conduct and recent government announcements in West Bengal, he said, “The Model Code of Conduct is applicable from now onwards. So, actions taken

before the code are the prerogative of the concerned governments. But now onwards, the code shall be applicable.”

Responding to a question on why the West Bengal elections were scheduled in two phases as opposed to eight phases in the 2021 elections, Kumar said the decision had been taken after careful deliberations.

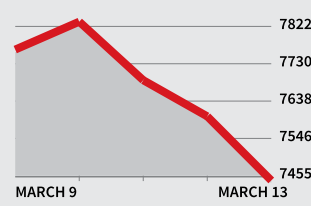
“In the considered opinion of the Commission, it was found necessary to reduce the number of phases and bring it down to an extent where it is convenient for everybody,” he said.

Answering questions on law and order, he said the Commission had already sought information from the authorities regarding officials linked to earlier election-related violence.

He warned that the Commission would keep a close watch on misinformation, including on the misuse of artificial intelligence tools and deepfakes, and said strict action would be taken if such content was used to influence voters.

the hindu businessline

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IN FOCUS

	Week's close	Week's change
Nifty 50	23151.10	-1299.35
P/E Ratio (Sensex)	20.47	-1.20
US Dollar (in ₹)	92.45	+0.71
Gold Std 10 gm (in ₹)	157765.00	-350
Silver 1 kg (in ₹)	260488.00	-235

SPARK.

Fintech start-ups rebuild cross-border payment infrastructure as Indian businesses expand global digital exports and services **p8**



CORPORATE FILE.

IKEA India CEO Patrik Antoni targets doubling investments, local sourcing and profitability by 2028 **p7**

MONDAY SPECIALS.

ACQUISITION DEAL

upGrad to buy Unacademy in 100% share swap



Bengaluru: Edtech firm upGrad has signed a term sheet to acquire Unacademy in a 100 per cent share swap deal. Neither company will disclose the valuation until the transaction is formally closed and regulatory filings are made public, Gaurav Munjal, Co-founder and CEO of Unacademy, confirmed on social media platform X. **p10**

CURRENT ACCOUNT

Marine insurance's added cost of West Asia war

India's general insurance sector is feeling the heat of the ongoing US-Israel war with Iran. Shipping activity in the Strait of Hormuz has been disrupted and oil shipments remain largely blocked after several tankers were damaged by Iranian strikes. The attacks on ships traversing the Strait of Hormuz have led to a spike in war-risk insurance premiums for marine hull and cargo, as well as claims risk. **p9**

Prolonged West Asia crisis deals multiple blows to exporters

TRADE SHOCK. Nearly 70% shipments hit due to surging freight rates, stranded cargo

Amiti Sen
New Delhi

The prolonged West Asia crisis and the near-halt of traffic through the Strait of Hormuz and other Gulf shipping lanes have triggered widespread disruption for Indian exporters, with industry estimates suggesting that nearly 70 per cent of outbound shipments have been affected.

Shipping delays, freight rates surging by as much as 300 per cent, cargo stranded at ports and in transit, and gas shortages have created severe stress across export sectors. While the government has asked exporters to identify consignments that could be diverted to alternative markets, exporters said that this is difficult as shipping lines are unwilling to take responsibility for such changes.

EXPORT STRAIN

"Only about 30 per cent of shipments are currently moving as most major shipping lines have suspended services. Even when vessels operate, they are taking longer routes via the Cape of



SHIPPING SNARL. Export containers stranded at the Jawaharlal Nehru Port in Navi Mumbai **p11**

Good Hope, which adds to the challenge. Exporters say that out of the seven or eight shipping lines they usually work with, only one or two are currently operating," said Ajay Sahai, Director General, FIEO.

Exporters have also flagged a 200-300 per cent increase in logistics costs due to longer routes, war-risk and emergency fuel surcharges, higher insurance premiums and mounting demurrage and storage charges. "There are three immediate problems exporters are facing," said Israr Ahmed, a Chennai-based leather goods exporter. "Transport and logistics costs have risen sharply, sup-

ply-chain costs for petroleum-based materials have increased, and energy costs have also gone up."

Uncertainty has worsened for exporters whose cargo is already in transit or stuck at ports. Shipping lines are re-directing vessels to the Port of Khorfakkan, which lies outside the Strait of Hormuz, but exporters are then required to arrange onward transport to their final destinations.

TRADE BOTTLENECK

The Commerce and Industry Ministry has sought details of stranded shipments for possible diversion to alternative markets, but exporters said this is difficult in prac-

tice. "Shipping lines are taking cargo to ports like Khorfakkan but want exporters to take delivery there and assume responsibility for it," Sahai said. "MSMEs do not have the logistics capacity to move cargo onward. They have already paid for shipping to the final destination, their money is not being returned, and they must incur additional costs."

The disruption is already affecting export clusters. About 1,500 containers from the Morbi ceramic industry in Gujarat are currently stuck at ports, exposing exporters to heavy losses. The cluster, which relies on natural gas and propane to fire kilns and run drying processes, is also facing a severe gas shortage.

Engineering exporters, too, have been hit by the gas shortage. "West Asia accounts for about 16 per cent of India's engineering exports, and shipments to the region have been disrupted. Gas shortage has also forced some furnaces to shut; so we expect a shortfall in engineering exports in March compared with March last year," said Pankaj Chadha from EEPIC India.

EV discounts cross ₹5 lakh as fuel jitters, tax perks push March sales

Amit Vijay Mohile
Mumbai

Electric vehicle discounts have exceeded ₹5 lakh for the first time in India as auto-makers roll out aggressive incentives to boost sales before the financial year-end amid fuel uncertainty and production-linked incentive (PLI) scheme targets.

Total effective discounts, including manufacturer incentives and dealer commission payouts, have crossed ₹5 lakh on some EV models. Discounts of up to ₹5.05 lakh are being offered on leftover MY2025 units of the Ioniq 5. Mahindra's XUV400 EL Pro carries offers of up to ₹4 lakh, and incentives on newer Mahindra EVs, such as the BE 6 and XEV 9e, have reached ₹2.95 lakh. Discounts on certain Tata Motors models, including the Curvv.ev, Nexon.ev and Tiago.ev, have gone up to ₹3.8 lakh.

Carmakers, including Hyundai, Tata Motors, Mahindra & Mahindra and JSW MG Motor India, have rolled out aggressive offers, ranging from cash discounts and exchange bonuses to corporate incentives and extended warranty packages to boost EV demand, particularly on leftover model-year inventory.

JSW MG Motor India is



TAX LEVERAGE. Dealers said the surge in incentives is being supported by tax advantages for corporate buyers's **REUTERS**

pitching its Windsor EV with a different strategy — offering free public charging for one year and depreciation benefits that could reach ₹13.17 lakh for first-time business buyers, aimed at corporate and fleet customers looking to electrify their operations.

CORPORATE PUSH

Dealers said that the surge in incentives is also being supported by tax advantages for corporate buyers. Under tax rules, businesses can claim accelerated depreciation of up to 40 per cent on electric vehicles, compared with 15 per cent for petrol and diesel vehicles, making EV purchases attractive ahead of the fiscal year-end.

Fuel price volatility and concerns over CNG availability are also prompting more customers to consider electric mobility.

"In two-wheelers and entry-level passenger cars,

buyers are increasingly evaluating total running costs. Concerns around fuel volatility are pushing many customers to consider EVs during this uncertain period," said Vinkesh Gulati, Chairman of the Automotive Skill Development Council and Founder-Director of United Automobiles.

Manufacturers have added incentive to push EV sales, as payouts under the government's auto PLI scheme are linked to incremental sales of advanced automotive technology vehicles.

According to the Federation of Automobile Dealers Associations, electric passenger vehicle sales grew 44 per cent year-on-year in February to 13,733 units, compared with 9,505 units in February 2025. Dealers said the surge in enquiries could translate into stronger EV sales as the fiscal year draws to a close.



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Tariff war 2.0

‘Section 301’ to the fore in US tariff offensive

Last week, the US fired two salvos under Section 301 of the Trade Act, 1974 — the first, a trade investigation into excess capacities in 15 countries and the EU, which includes India; and the second, an inquiry into the use of ‘forced labour’ against 59 countries and the EU, again including India. As the US Congressional Research Service (CRS) report observes, the investigations have been initiated “following a Supreme Court decision on (reciprocal) tariffs imposed under the International Emergency Economic Powers Act”.



With reciprocal tariffs being struck down, a new arsenal is being lined up with the same intent — reducing individual trade deficits. Section 301 is likely to replace the existing 10-15 per cent tariffs in operation for five months under Section 122 of the same Act. Section 301 tariffs are reviewed after four years. If a country is indicted under a Section 301 inquiry, the US can impose tariffs or import curbs; suspend trade pact concessions; or force the other country to compensate the US. China has borne the brunt of Section 301 tariff actions. India has been targeted under ‘Special 301’ on intellectual property rights, and less so under the current provision.

However, there is a growing sense that the ruling on tariffs cannot be easily reversed. The US might have miscalculated by setting off Section 301 inquiries against countries that have entered into trade deals, such as Malaysia, Indonesia, Vietnam and Bangladesh. Malaysia has walked out on its deal with the US. Now, it would seem that countries or blocs which signed deals with the US are no better off than those that did not. Post the court order, a 10-15 per cent flat tariff applies to all, for now. In India’s case, the reciprocal tariff rate of 18 per cent ‘agreed’ under the Indo-US ‘interim framework’ deal, has been nullified.

Now, the possibilities are bewildering. Probes into forced labour and industrial capacity may lead to a return of punitive tariffs. The indictments under Section 301 give the US the power to retaliate in sectors that are not specific to the area of inquiry — and this is actually allowed under Article 22 of the WTO’s Dispute Settlement Understanding rules. The US perhaps believes that this may once again set off the old dynamic, of the world rushing back to the negotiation table. But countries are less likely to rush headlong into deals that may be upturned by the US on a whim. India should stick to its red lines on agriculture, data security and intellectual property, while agreeing to open up its goods sector, as it has done for other FTA partners. The joint statement allows for renegotiation if the circumstances change, as they indeed have. Geopolitical equations are fluid in the wake of the war. The Trump administration is under pressure not to destabilise US business and consumers, while the Congress too is keen to consider executive limits to the use of Section 301. India can afford to proceed calmly in its negotiations with US.

OTHER VOICES.

The Guardian

It’s worse than a mistake

When Russia launched its full scale invasion of Ukraine in 2022, the international condemnation from Europe and elsewhere was loud and clear. Leaders did not expect legal threats to shift Vladimir Putin or end war crimes by his troops. But they understood the importance of naming what had happened as an illegal act of aggression, and of seeking to hold those responsible accountable. The same countries have been strikingly muted since the US and Israel launched their war on Iran. This too was an act of aggression. Spain’s Pedro Sánchez has been lonely in his forthright condemnation, though Norway and others also pointed to the breach of international law. Meanwhile, Australia’s prime minister, Anthony Albanese, offered unreserved support and Germany’s chancellor, Friedrich Merz, declared that it was “not the moment to lecture our partners and allies”. LONDON, MARCH 13

THE WALL STREET JOURNAL.

Viktor Orbán Carries Putin’s Water

American aid to Ukraine fell by 99% in 2025, and can Europe muster the will to fill the void? The European Union agreed in December to provide Kyiv with a loan of nearly \$105 billion. But Hungarian Prime Minister Viktor Orbán is now blocking that money, and without European support Ukraine will soon face a dangerous fiscal crunch. Mr. Orbán’s excuse is a disruption to the Druzhiba pipeline that transports Russian oil through Ukraine to Hungary and Slovakia. Ukraine says the pipeline was damaged in January during a Russian attack. But Mr. Orbán accuses Ukraine of an “oil blockade” against Hungary, and he’s now using a loan blockade to compel Ukraine to reopen the pipeline. Ukraine is reluctant given how Russia uses energy revenue to fund its war. NEW YORK, MARCH 14

The US’ global misadventures

The American electorate seems to be remarkably apathetic to the misdeeds of its government across the world

LINE& LENGTH.



TCA SRINIVASA RAGHAVAN

Over the last one year, the world has heard leaders of the American regime behave horribly rudely while saying abominable things about all non-Americans. All restraint has vanished. As the saying goes, the inmates have taken over the asylum and are running amok.

This is not the first time that such an egregious and brutal demonstration of power, money and muscle have been seen. America’s Wild West culture — have gun, will travel — has been a constant. You only have to see what America has been doing in South America. It’s beyond shameful but accepted as normal because that’s what has been happening there since Columbus found it. It’s now trying to do it worldwide.

In 1955, the star British novelist Graham Greene wrote a book called ‘The Quiet American’. Three years later, two hitherto unknown Americans, called William Lederer and Eugene Burdick, wrote another novel called the ‘The Ugly American’.

Predating both of them was the 1881 Indian play by Bharatendu Harishchandra called ‘Andher Nagari, Chaupat Raja’. It’s about a foolish ruler in whose kingdom there is no value placed on values.

The time has perhaps come for someone to write a novel called ‘The Indifferent American’. America today exemplifies Andher Nagari, Chaupat Raja.

I read the first two novels in the late 1960s. That was the time when violent American involvement in South-East Asia — Vietnam, Laos, Cambodia and Thailand — was at its peak. Those two novels explained why America was so hated. The theme was that American foreign policy was incompetent, arrogant and stupid.

AMERICAN INDIFFERENCE

Perhaps the theme of the third could be the sheer indifference of the American people to these qualities in those who govern them. They simply don’t care, it



seems, what American regimes do abroad. Out of sight, out of mind. What’s truly incomprehensible is that the same people are so energetically innovative in every aspect of human endeavour.

It doesn’t seem to bother them that American governments lie a lot in the pursuit of foreign policy objectives. The massive escalation in the Vietnam war was based on a complete lie, namely, the Gulf of Tonkin incident. Since 1945, every war that America has launched has been based on a lie, each and every one. And it has lost all of them.

The American people have gone along each time. Call it resignation or helplessness or apathy, the result is the same. As long as a large number of Americans don’t die, they don’t care

It’s no excuse that the enemy state is a brutal one. It may well be, but is it America’s duty to bring it down? If it was, why does America exempt so many other similarly brutal ones?

what their government does abroad.

And, of course, as long as American companies make money, they don’t care either. This time around it’s the oil, gas and fertilizer industries that are benefiting hugely. Just look at how their stocks have performed. The gains run into billions of dollars.

The ruling regime of America always puts out a story that it is killing non-Americans for their own good and that Americans are incidental to the benefits the war brings. This is the essence of the ‘just’ war lie. But after repeated use, the moral cloak has worn threadbare now and the self-serving intent of various American regimes is plainly visible.

It’s no excuse that the enemy state is a brutal one. It may well be, but is it America’s duty to bring it down? If it was, why does America exempt so many other similarly brutal ones? Why does it pick on hugely weaker opponents, only to lose? It’s an extraordinary pattern of hubris being humiliated.

WHOSE WAR IS IT ANYWAY?

One hundred and twenty five years ago, when the British empire was at its zenith, the brilliant British playwright George Bernard Shaw wrote a play called

‘Major Barbara’. Shaw suggested how the British arms industry always managed to persuade British governments to go to war and how the munitions industry was a moral endeavour because a small bit of the money it made from selling weapons was devoted to charity.

Half a century later, an American president, the war hero Dwight Eisenhower, in his farewell address, would label this as the military-industrial complex which shaped attitudes and policies in the West. Something like the UN, as various American politicians have told us, is totally antithetical to this complex. How can the arms industry make money if there are no wars?

That’s also why America has military bases in at least 70 countries. While the rest of the world is acutely aware of all this, Americans themselves hardly ever discuss it. As ignorant electorates go, America’s electorate is at the top of the chart, unable to hold its regime to a moral standard. To them, foreigners are fair game.

It’s hard to escape the conclusion that the American voter is largely insular and morally delinquent. Unfortunately, the American president is chosen from amongst them.

PN3 was meant as an emergency measure

Press Note 3 amendment was long overdue. Chinese investments in India will create jobs and spur domestic value chains

Aditya Sinha

Gaius Plinius Secundus, aka Pliny the Elder, was not an economist, but he had views on trade deficits. In his Naturalis Historia, written around 77 CE, he complained that India, China, and Arabia were draining Rome of 100 million sesterces each year. The mercantilist instinct to block outflows, to restrict commerce with a rival is very old. It is also, as every economist since Adam Smith has noted, usually wrong. India’s trade deficit with China stood at \$99.2 billion in FY25. Imports from China rose 11.52 per cent to \$113.45 billion; exports contracted 14.5 per cent to \$14.25 billion. Pliny would have recognised the anxiety. The policy India chose in April 2020, Press Note 3, restricting Chinese investment under para 3.1.1(a) of the Consolidated FDI Policy, he would have recognised too. He would not have called it wisdom.

On March 10, the Union Cabinet amended PN3. The data make a strong case for why this was overdue. One should acknowledge that geopolitical concerns also drove the original note, but this column is on the economic side. From April 2000 to June 2025, China ranks 23rd among source countries of FDI equity inflow into India, \$2,506 million, or 0.34 per cent of India’s total of \$747,510 million. Chinese FDI via the automatic route was \$190 million in 2019 and \$0.6 million by 2024. Meanwhile, India absorbed \$113.45

billion of Chinese goods in a single year. Over 25 years, India accumulated \$2,506 million in Chinese capital. In one year, it absorbed Chinese goods at 45 times that amount.

ARGUMENTS AGAINST

Six arguments against PN3’s continuation were visible from the data long before March 2026.

First, the emergency rationale expired with the pandemic. PN3’s own text frames it as a response to “opportunistic takeovers/acquisitions of Indian companies due to the current COVID-19 pandemic.” That pandemic ended. India’s equity markets recovered and deepened. Emergency legislation retained after the emergency is not caution. It is bureaucratic sedimentation.

Second, the legal architecture was incoherent from the start. The phrase “beneficial owner” appeared in para 3.1.1(a) without definition, a gift to litigation and a burden to business. Two competing thresholds immediately emerged: 10 per cent under the Companies (Significant Beneficial Owners) Rules, 25 per cent under PMLA. The Foreign Investment Facilitation Portal (FIFP) promised decisions in 8-10 weeks; in practice, approvals took 6-10 months. Investment in consumer electronics, auto ancillaries, and renewables waited in the same queue as genuinely sensitive proposals. As Hayek observed, the curious task of economics is to demonstrate how little men know about



INDIA. Luring investments |ISTOCKPHOTO

what they imagine they can design. The FIFP ran this demonstration for five years.

Third, the China Plus One opportunity required Chinese capital, not merely Chinese absence. Xenophon’s Poroi argued that a city’s strength depended on attracting foreign investors; Kautilya’s Arthashastra made the same point from the other side of the Indus. Vietnam, Mexico, and South Korea attracted Chinese FDI while gaining US export share. India did neither.

Fourth, India’s energy transition cannot bypass Chinese capital. China controls over 60 per cent of global battery production and more than 70 per cent of solar supply chains. Brazil and Turkey raised barriers to Chinese EV imports while simultaneously attracting Chinese FDI in the same sector, converting trade dependency into productive domestic investment.

India, with PN3, blocked the investment while import dependency

● BELOW THE LINE



COOKING GAS. Dealing with the crisis PTI

Gas surprises

As the news of the gas shortage began to do the rounds, a senior citizen in Chennai used his Indane app and decided to book a cylinder

since he had about 10 days of gas left. To his pleasant surprise, the cylinder arrived the very next day, putting both him and the gas delivery person in a spot. Finally, he decided to cancel the booking, in the fervent hope that he receives the cylinder just as quickly, when he books 10 days from now! Walking on eggshells The 18-month period between securing RBI’s “in-principle” approval for a bank to go to the next stage (transition from a small finance bank/SFB to a universal bank and from a payments bank to a SFB), and obtaining the final approval for the same can be tricky. The road to the final destination can

be paved with challenges. AnSFB, for example, disclosed a suspected fraudulent activity in a State government account with it. The chief of a payments bank was arrested in connection with investigation into alleged GST evasion. The managements of the two banks, which received the banking regulator’s “in-principle” nod, are walking on eggshells to navigate the challenges. And, the banking regulator is keeping a close watch on their every move. No alarm over oil price Seems like oil prices hovering around \$100 a barrel are no longer a big shock to consumers. “Whenever

there are geopolitical tensions we see spike in prices for both oil and gas. Market has somewhat got used to it,” said a trader. However, oil prices of more than \$100 per barrel will deliver a larger shock to consumers’ real incomes and impact spending. “But, this is not a new normal, per se. The situation will change. When we don’t know but it will,” an industry player said. Cues from Thailand Recently, a piece of international news was noticed in the corridors of power. On March 10 a Reuters report from Bangkok said that the Thai Prime Minister Anutin Charnvirakul had ordered civil servants to

conserve energy amid an energy squeeze brought on by the conflict in the Middle East, with measures including suspending overseas trips and using stairs instead of elevators. “The prime minister ordered that starting from today civil servants will work from home,” spokesperson Lalida Periswiwatana told reporters, adding that exceptions would be made for officials who must serve the public. “Well, we should do something like this here. Remember, Fit India’s flagship mass fitness movement, Sundays on Cycle (SOC). Why not make it a daily routine?,” said an enthusiast. Our Bureaus

● DIGITISING POWER DISTRIBUTION

CM YK M CH-CHE

How should CEOs respond to the West Asian crisis

BLINDSIDED. There are no instruction manuals as business leaders tackle unprecedented disruptions from a widening war

NAVIGATING GEOPOLITICS



SHIV SHIVAKUMAR

The current West Asia crisis is like no other. When CEOs face any challenge, they look for precedent — previous cases — to decipher their next move. In this case, there is no precedent. The last big disruption and challenge was World War II, and the world for a CEO was dramatically different then.

The West Asia crisis has the following impact:

- Prices of all petro-linked products and derivatives will go up. Everything from petrol to fertilizers will cost more over time.
- Packaging material prices will go up. This is significant for all FMCG brands, where packaging could account for 10 per cent and above of cost base.
- Global supply chains will get reorganised again after Covid. Anything that originates in West Aisa or routed through the region will be rethought.
- Remittances from West Asia to India will drop, thus depressing real estate prices in many Indian urban centres. Real estate companies will have to offer added value.
- Tourism will be hit as travellers play safe. Dubai will take time to get back as a haven for anything.
- Luxury and fragrance brands will be hit big. Gold and jewellery prices will drop.
- Air travel will get more expensive and stressful.
- Indians will rethink their Dubai golden visa application and about sending their kids to West Asia for higher education and jobs.
- Electric vehicles will boom.
- Some companies and countries may again implement 'work from home' policy.

COST PRESSURE

Affordability will be the “core” issue for consumers and businesses. How should CEOs think about the situation, irrespective of sector?

- Start from the consumer end. Will there be disruption either in supply or price or delivery? CEOs must protect this revenue generating end of the business model. Avoid price increases and cutting product gram-mage. These have collateral damage that is not visible today.
- Build alliances with key customers and suppliers to keep the flow running. Extend new terms to them, so that you can build



FIREFIGHTING. A Thai-flagged cargo ship caught in the crosscurrents of the raging war in West Asia REUTERS

certainty in business and the supply side can serve you better.

- Rethink all costs. Don't cut people. Every business has good costs and bad costs. Bad costs are inventory, too much borrowing, delays in decision-making, and so on. Cut all costs that can be cut. Plan a 20 per cent reduction in costs without cutting head-count. In doing this, cut flab, not muscle.
- Lay out the 30-day, 90-day, 300-day plans for your company and communicate them with all employees. Monitor progress, report it, else employees will be worried. It's better for employees to hear news from you and not the media.
- Postpone all incentives for employees by a year and give it back to them when the tide turns. Do not cut employee salary. Conserve cash as much as you can.
- Meet as an industry body regularly to analyse the risks and threats to the sector. Keep the State and Central governments briefed on issues and seek help where needed. The current situation needs every country to think like a business.
- Renegotiate with banks the capital needs and payment schedule. This is an exceptional situation, and support from banks is vital to keep the show going. Banks also do not want non-performing assets (NPAs) on their books.
- Communicate relentlessly and be visible as a CEO. Avoid setting any system in panic.

I also think this is a crucial time for the government. Diplomacy will be priority, but the government must also look at ensuring that every sector has the right inputs to be competitive and tide through this crisis.

Remaining competitive for the day the tide will turn must be the guiding principle as CEOs navigate today.

Shiv Shivakumar is former Chairman of Pepsico India and former CEO of Emerging Markets at Nokia

TABLE TALK

Ikea's DIY ambitions for India

Ikea India CEO Patrik Antoni targets doubling investments, more local sourcing and profitability by 2028

Vinay Kamath

It's a balmy afternoon in Chennai and the sprawling, leafy environs of the venerable Madras Club, on the banks of Adyar river, are tranquil and quiet. One of the oldest surviving social clubs in India, founded in 1832, with colonial-era architecture, it is the venue home furnishings retailer Ikea India has chosen for the launch of its venture in Tamil Nadu.

Patrik Antoni, CEO, Ikea India, is here to talk about the Swedish firm's plans for the TN market. He says the company has been eyeing the Chennai market since 2015.

“We see India as one of the most potential markets for Ikea in the world. Its economic development and fantastic demography make it a market where Ikea will grow over the coming years, and we have a long-term perspective here,” he tells mediapersons. The TN venture is online only for now; physical stores may follow later.

Once Antoni is done with his media confabulations, we catch up over a sumptuous buffet lunch. I help myself to some *aloo chaat* with tamarind and mint chutney with pomegranate seeds, alongside *sabudana vadas* while Antoni serves himself some *aloo chaat*.

UNDERSTANDING INDIA

It's his second stint with Ikea in India, he says. He was part of the start-up team from 2013 to 2018, ahead of the Hyderabad store's opening. “I was No 7 on the team, and then, when I left, we were about 900 people,” he recalls. Antoni had moved to India from a stint in Portugal.

“I was living in Portugal with my wife and was asked if I wanted to go to India. It's quite a big step for a family to move to India from Europe. She agreed and we took off for India. And it was a fant-



DESI DESIGNS. Patrik Antoni, CEO, Ikea India ILLUSTRATION: VISVESWARAN V

astic journey, discovering and travelling around the country.” There were many learnings from the Indian market, including things like testing the company's wooden furniture in the country's humidity.

From India, Antoni and family moved to Russia, a mature market with 14 Ikea shopping centres spread across 2 million sq m. And then Ikea opened four more stores in that country and employed nearly 13,000 people. But once Russia's war with Ukraine started, Ikea shut down the whole edifice.

“It came from the values of the company. We didn't want to operate in a country that invaded its neighbour. Sweden, too, is not supportive of the war. Supply chains were completely disrupted too. We sold all our real estate. It was very emotionally disturbing because we had to let go of thousands of people,” recalls Antoni.

It was back to India again, this time as CEO, in August 2025. “It felt new enough to

be super-exciting and, at the same time, familiar enough to feel comfortable. Our oldest daughter was born in India, so she was now coming back home. It's a very interesting time to be at Ikea here, both as a leader as well as a co-worker, because today we have 3,000 co-workers and we will be 6,000 in five years as we will be hiring a lot,” elaborates Antoni.

We help ourselves to some *murgh masallam*, stuffed with a bed of almond gravy and *methi*, and Malabar *parathas*. While Antoni sticks to the chicken, I add some pan-seared *paneer* medallions in *makhni* gravy to my plate and some *kaju pulao* with mint cilantro sprigs. Thus fortified, we carry on our conversation.

While one-year army service is mandatory in Sweden, the over 6 ft tall and fit-looking Antoni served four years with the army as a telecom engineer, training in electronic warfare. When he and a friend sought half a year's leave from the army to travel,

it was refused. So they both quit the army and travelled anyway, he says with a laugh. With his passion for diving, Antoni did stints as a diving instructor in the Philippines and Indonesia.

LOCALISATION

I ask him how far Ikea is in its Indianisation journey. Antoni explains that Ikea has over 15,000 products at its stores in Europe, but it has chosen 6,500 that are more relevant for India, ranging from kitchenware and bedroom products to bathroom and storage solutions.

“Then the big customisation is how we put things together. So, if you go to an Ikea store in Mumbai, Hyderabad or Sweden, they look different from each other because we're trying to understand the local needs and demands and make stores that fit those demands,” he explains.

In Mumbai homes, the rooms are smaller, so the store will have different solutions on ways to use the walls, while in Hyderabad people have more space, so they will have more furniture. His favourite example is of the shoe cupboard and how it has to be adapted. In India, footwear is usually left outside the house, while in Sweden a shoe rack is in the hallway, and in Portugal shoes are worn in the house and stacked in the bedroom! Or take the washing machine. In Sweden, it's always in the bathroom, in Portugal in the kitchen, in Russia it's in the hallway as the flats are small, while in India it's often placed in the balcony.

“So, we needed to reflect on this in the solutions we offer. It's a lot about how to figure out where and how people do their things. In Sweden, for example, you do your makeup mostly in the bathroom, but here you don't because it's a wet bathroom and you don't keep your stuff there.”

Insights were drawn from visiting homes in India and

understanding living habits.

We indulge in a dessert of raspberry and oats crumble tart with custard cream while we go over Ikea's financials. Ikea India reported a marginally lower revenue of ₹1,749.5 crore for the year ended March 2025, compared to the previous year, while net loss touched ₹1,325 crore in FY25, compared with ₹1,299.4 crore a year earlier. Antoni says the company in India is still in the investment phase. “The ambition is to quadruple sales by 2030 and be profitable by the end of 2028,” he adds.

STAYING INVESTED

Ikea India has invested ₹10,500 crore and intends to double that by 2030, perhaps adding another 20-30 stores to the six it has now. “But again, it depends on how things move,” he adds. The online business in India is around 30 per cent and growing. “Most countries are at 20-30 per cent. So, probably in India it could go up to 40 per cent,” he explains.

I ask him how he stays fit. “I'm generally active; I surfed for three days in Kovalam. I have two small kids. We do all kinds of things together — football to tennis, and I do some morning yoga. Nothing extreme; I ski, dive as well.”

His favourite Indian foods, he confesses, would be *palak paneer* and probably *dal makhni*. “And I don't mind the coconut curries of the Douth.” In Chennai, did he indulge in *masala dosa*, I ask?

“What, were you watching me in the hotel? I did have one for breakfast,” he says with a laugh. Freshly caught fish is another indulgence. “We bought from the fishermen in Kovalam. You put it on the grill, a little bit of salt, pepper and olive oil. It doesn't need more,” says Antoni, almost smacking his lips. With food fetching 7-8 per cent of revenues at Ikea stores, may be this will find its way to the menu soon.

Full text of article on www.businessline.in

The Pygmalion effect on cricket and work!

Do we create high performers by virtue of the expectations we place on them?

PEOPLE@ WORK



KAMAL KARANTH

Was it superior skills, good preparation or a well-rewarded system that enabled Team India to lift the T20 cricket World Cup once again? I think it's the Pygmalion effect — the psychological principle, according to which 'people tend to perform better when more is expected of them'. In our work world, would “high expectations” help colleagues outperform on their tasks?

In the 1960s, Harvard University psychologist Robert Rosenthal and his colleagues administered an IQ test at an elementary school in San Francisco. They told the teachers that, based on the test, they had identified in each class some students who were “set to blossom”. A year later, when the students were retested, the scores of the “blossoming” group had climbed significantly higher than the rest. The researchers attributed the superior performance to the various positive ways in which teachers may have interacted with the set. They pointed out that the teachers were more encouraging towards this group, did not criticise their mistakes and used warmer body language. Rosenthal termed it the Pygmalion effect, after the Greek mythological sculptor who fell in love with a statue and made it come alive.

EXPECTATIONS DELIVERED

If colleagues whom you regard highly don't deliver on their promise, would you be more disappointed in them compared to team members from whom you expect less? But honestly, can we afford to expect less from any of our colleagues in a competitive world?

However, the truth is we tend to ignore the poor show of some team members as the focus is always on high-potential colleagues. In our professional space, aren't we all in a constant toggle between engaging and pressurising our team to deliver a superior performance?

A MATTER OF PRESSURE

Some of us go beyond stating expectations to our teams and convert that into pressure. I once found myself becoming helpless with one of my colleagues. I



FANNING FRENZY. The Indian cricket team lifted its game and the T20 World Cup as the home crowd filled the stadium in Ahmedabad to cheer them ON VIJAY SONEJI

was trying to media train him. He wasn't able to deliver despite being a capable guy, and it was a crucial ability needed for his next role. In every meeting, I would taunt him about his lack of intent or effort. Initially, he used to fight back, asking me to wait and watch how he would turn around; with time, he became immune to my sarcasm and never developed those skills. For me, he turned out to be a lazy guy and I became a boss who only applied pressure and never encouraged or supported his needs.

We know each of our team members reacts to pressure differently. Some of us bounce back, and many of us are likely to whittle down.

WEIGHT OF REPUTATION

How do the superstars in your organisation handle the pressure of performance? Though performance is contextual, every enterprise seems to be dependent on a few leaders or certain teams to give it the boost. It's difficult to miss the attention these top-performing leaders get; everything they say is heard by the bosses, everything they do is highlighted as best practices by HR and CEOs.

When I was employed and running India operations, I could see the importance given to my counterparts in Singapore and Malaysia, as 90 per cent of the region's profits came from those two countries. Life wasn't easy for the leaders helping them; if their numbers dropped, they were under scrutiny, and an increase in attrition was criticised. They were monitored constantly, and it was not clear whether those leaders en-

joyed the downside of the attention.

The Indian cricket team must have felt the same after the loss to South Africa in the recent T20 World Cup. Just like the cricket critics, there are many detractors in every organisation, and it would seem like they are waiting for the superstars to fail. The burden of expectation and reputation is a huge challenge to live up to for leaders with a past track record.

ASSUMING POSITIVE INTENT

Assuming the best for others is hard but necessary, argues Trinity University professor Amer Kaisser in his latest book, *The Positive Intent Mindset*. His research shows that positivity begets positivity. So, leaders who go in assuming that others are trying their best, they're going to find evidence that others are trying their best. Whereas if leaders do the opposite, going in with some biases, not only will they feel miserable but will also likely find evidence on those lines. Think about the thousands of people who throng the stadium for India's cricket matches in spite of the not-so-spectator-friendly facilities in our country. They are fans who want to cheer the Indian cricketers in high-stakes games. With millions of fans supporting, it's only natural that the Indian cricket team lifts its game and keeps winning more often than not.

Imagine working in an organisation or team where everyone is cheering for you and not just their top performers?

Kamal Karanth is Co-Founder of Xpheno, a specialist staffing company

ENVIRONMENTAL CONTROL

Finding a niche in air, water and carbon

How the Gurugram-based Pahwa group of companies has blended science, tech and business to find a profitable spot

Chitra Narayanan

It's rather apt that one meets veteran entrepreneur Deepak Pahwa on a day when Delhi's air quality is particularly bad. His Pahwa Group of companies, which includes the over 60-year-old Bry-Air, Desiccant Rotors International (DRI), DelAir and Technical Drying Services (TDS), is in the business of hi-tech air treatment and environmental control.

His companies are also into energy recovery and energy savings, particularly important areas in these volatile times, when the world is exceedingly conscious about energy consumption. The products from the group cater to sectors ranging from pharmaceuticals to advanced battery manufacturing.

Pahwa animatedly talks about the latest launch from Bry-Air — a dehumidifier specially developed for the pharma industry, which uses metal-organic frameworks (MOFs). The Nobel Prize for Chemistry in 2025, he points out, was won by three scientists for MOFs, which are porous materials that can trap carbon dioxide. “We had been working on this technology for 13 years and just launched our first product incorporating MOFs,” says Pahwa, explaining how, for 35 years, the world has relied on silica gel as a desiccant for dehumidification. “With MOF technology, you are saving 60 per cent energy, which is a giant leap, and our product has big applications in pharmaceutical and food factories,” he says.

It was pure chance that Pahwa, an electrical engineer from BHU, got into the niche of environmental control products. “Our innovations and technology development have somehow been focused on energy saving devices. We didn't add those labels, but in the last 15 years we found the world's attention on it, as sustainability became a buzzword,” he says. This explains why the group is in a good space now, and its products are found everywhere in the world, from China to North America and West Asia to Latin America.

THE ORIGINS

The flagship company of the Pahwa Group is Bry-Air, which has an interest-



BREATHE EASY. Bry-Air's water maker, and Deepak Pahwa, Chairman, Pahwa Group



ing history. It was founded in 1964 by Art Harms, a former sales representative at Bryant, a division of Carrier Corporation.

In 1981, Harms' family entered into a joint venture with Pahwa to form Bry-Air Asia. “In 1999, they decided to cash out of the JV and thus we acquired the name for Asia,” says Pahwa.

But then in 2006, there was a management takeover of Bry-Air USA. “We part-funded that takeover,” says Pahwa, “and, in the process, we acquired the global name and licensed its use back to the person who bought it, with the provision and restriction that he could only use it in North America.” Last December, there was a sunset to the agreement; the Bry-Air business is now wholly with the Pahwa Group.

“We have an organisation which is very innovation driven,” says Pahwa, describing how the company has filed over 130 patents (80 granted) for adsorbent and dehumidification technologies. An innovation he is betting big on is a unit (Taaza water) that can generate water from air — moisture from air is captured, its quantity enhanced and then condensed. “We expect a pretty interesting future for it in this water-stressed world,” he says.

At the moment, the units, which can produce 60 litres of water a day, are being distributed through NGOs to various small locations. Each unit is priced ₹1.5 lakh.

“We are working on larger systems designed to produce 1,000 litres an

hour,” he says.

Which is the group's hero product? “We have three products that have given us extensive recognition. One is our desiccant dehumidifiers. The second product is our energy recovery wheels. It rotates and transfers the energy. And the third product is a wheel, too — that is in the heart of every dehumidifier. In fact, the best of companies that make dehumidifiers in China buy the wheel from us in India — the core or gut is going from us,” he says.

There are also the energy recovery devices, made by DRI, which help maintain sufficient fresh air in occupied spaces without a punishing air-conditioning load, he says.

CLIMATE TECH

Clocking revenues of around ₹1,000 crore, including overseas business, the group, with 1,900 employees, is working on futuristic technologies, Pahwa says. “Global warming has led to opportunities as drastic measures are needed to reduce the carbon content in the atmosphere. People are scrambling to develop technologies for removal of carbon dioxide. Today, we are also working on advanced carbon dioxide capture technologies,” he says.

These climate mitigating technologies, he says, have applications in industries like cement factories, which emit a lot of carbon. “But we don't want to get into the front end of that rat race. We are working on the core or the heart of what they will need.”

FUND FACTS.

\$82 million

Sfo Technologies Private Limited received funding from Trident Growth Partners, Amicus Capital Partners, Anicut Capital, and Hdfc Asset Management Company Limited on March 2, taking the total funding to \$122 million.

\$54 million

Temple Private Limited received funding from Steadview Capital, Peak XV Partners (Sequoia India and SEA), Vijay Shekhar Sharma, Deepinder Goyal, Info Edge Ventures, VY Capital, Dharana Capital, Kunal Shah, Nithin Kamath, Nikhil Kamath, Akshant Goyal, Aditya Mangla, Kunal Swarup, Akriti Chopra and Rahul Ganjoo on Februrary 27, taking the total funding to \$54 million.

\$49 million

Blink Commerce Private Limited received rights from Eternal Limited on March 12, taking the total funding to \$1.040 billion.

\$43 million

Valuedrive Technologies Private Limited received Series G funding from Fidelity Investments on February 27, taking the total funding to \$632 million.

\$32 million

Rozana Rural Commerce Private Limited received Series B funding from Bertelsmann India Investments, Fireside Ventures, Spark Growth Ventures, Fe Securities Private Limited, and Bikaji Family Office on March 6, taking the total funding to \$32 million.

Source: PrivateCircle Research, a private market intelligence platform

RE POSTS.

- ✕

Company building is changing in the post-AI world. Startups will constantly run product experiments in search of bigger opportunities. As models evolve, new capabilities new markets. Founders can't afford blinders around a single product. ~20-30% of effort will go toward new horizons. Building is now faster, cheaper, and better, so ideas can be tested at high velocity.

Tejeshwi Sharma
@tejeshwi_sharma
- ✕

You don't need a "disruptive" idea to build a successful startup. You need happy paying customers and revenue. Stop overthinking everything and start building.

Andrew Gazdecki
@agazdecki

● SWIFT CHANGE

Democratising cross-border payments

FX-TECH. From exporters to freelancers — no venture is too small today to find overseas buyers. Fintechs are helping move the money

Jyoti Banthia

As more Indian businesses sell services, software and products to overseas customers, fintech start-ups are racing to rebuild the pipes used to move money across borders.

For decades, cross-border payments relied on traditional banking rails such as SWIFT, which moved funds through several intermediary banks before reaching the recipient — often taking days and incurring multiple charges along the way.

That structure was feasible for large corporates moving high-value payments but proved cumbersome for small exporters, freelancers and digital businesses selling globally.

Fintech companies such as Razorpay, Cashfree Payments and Skydo are attempting to plug this gap by building software-led cross-border payment infrastructure that enables businesses to collect payments globally, manage foreign exchange and automate regulatory compliance.

GLOBAL REACH

“Cross-border commerce is no longer limited to large enterprises,” says Rahul Kothari, COO, Razorpay, noting that digital-first businesses — from SaaS firms to niche e-commerce brands — are increasingly targeting global customers from the outset.

Razorpay enables merchants to accept payments in more than 130 currencies and global wallets, which allows international consumers to transact easily with Indian businesses. The company says the adoption of its cross-border stack has accelerated sharply, with the monthly transacting user base doubling.

The platform caters to over one lakh Indian exporters across sectors such as travel, e-commerce, education and digital services.

“Our cross-border stack is trusted by global leaders such as Airbnb, Agoda, Klook, Shopify and



Hostinger, as well as Indian brands including Mokobara, Akasa Air, Pernia's Pop-Up Shop and House of Masaba,” Kothari says.

TRUST FACTOR

Cashfree's platform enables merchants to accept international payments through familiar methods such as Apple Pay or international credit cards.

This has helped increase conversion rates for businesses selling abroad, says Akash Sinha, Co-founder and CEO of Cashfree Payments.

“When international buyers can pay using methods they already trust, checkout drop-offs fall dramatically,” Sinha says, adding that revenues rise significantly as a result.

The platform also serves international businesses that want to sell in India without setting up a local entity. These companies — ranging from SaaS platforms to OTT services — often struggle with low success rates on international card payments.

Failure rates in international card transactions in India can be as high as 35-40 per cent, Sinha says, partly due to authentication and currency conversion issues.

“By enabling local payment methods such as UPI and RuPay, success rates can exceed 85 per cent,” he says.

Cross-border payments have quickly become one of Cashfree's fastest-growing segments — volumes have grown 250 per cent year-on-year, while the merchant base for international payments has doubled to more than 10,000 businesses, the company says.

The segment currently contributes 10-15 per cent of the company's overall revenue, and the targeted share is 25-30 per cent by FY27.

For fintech firms, the economics of cross-border payments are significantly stronger, compared with domestic transactions.

“Because cross-border transactions involve forex conversion, compliance and additional infra-

structure, the margins are roughly twice that of domestic payments,” Sinha says.

BUILDING INFRASTRUCTURE

Skydo focuses on entities receiving payments from overseas clients. Its 35,000-strong customer base includes SaaS firms, digital marketing agencies and small exporters in sectors such as garments, processed food and home furnishings. A growing segment comprises freelancers working with global clients through platforms such as Upwork and Fiverr.

“The core problem is that cross-border payments still run on legacy infrastructure, where money moves through several intermediary banks before reaching the recipient,” explains Srivatsan Sridhar, Co-founder and CEO of Skydo.

Beyond the payment itself, exporters must also navigate compliance requirements such as FIRA (foreign inward remittance advice) documentation, export reporting and regular bank follow-ups, which

can be time-consuming for smaller businesses.

Skydo's platform attempts to simplify the process by combining payment processing with automated compliance workflows.

“Exporters need predictable settlement timelines and documentation workflows that align with how Indian export businesses actually operate,” Sridhar points out.

Skydo says it processes over \$1 billion in annualised cross-border payment volumes.

REGULATORY IMPETUS

Industry executives say regulatory changes are also accelerating innovation in the sector.

The Reserve Bank of India's ‘Payment Aggregator–Cross Border’ (PA-CB) framework has given fintech firms regulatory clarity to build independent technology infrastructure rather than relying solely on bank partnerships.

“The PA-CB regime recognises non-bank payment firms as regulated entities,” Sinha says, making long-term investment in cross-border payment infrastructure more viable.

Looking ahead, fintech firms believe the next phase of innovation will move beyond cross-border payments to a broader financial operating layer.

Skydo, for instance, is exploring products centred around global collections, international payouts, compliance tools and financial workflows to help businesses manage cross-border receivables.

“The long-term goal is to build a financial operating system for global businesses,” Sridhar says. “Payments, compliance and financial management will eventually work together on a single platform.”

As India's digital exports continue to grow, fintech start-ups are betting that the infrastructure powering those payments could become one of the country's most important financial technology layers and, in turn, put them at the centre of a rapidly expanding global trade ecosystem.

● STARTUPS: VAI-THEE-FUSS

The AI tsunami that is engulfing D2C startups



VAITHEESWARAN K

A quiet revolution is underway, impacting D2C startups. For over two decades, digital commerce was based on a simple business flow. Potential shoppers searched on Google, landed on a website and purchased stuff. This three-step flow has been the pillar for millions of businesses generating billions of dollars in income. Websites paid money to

Google to drive clicks from potential buyers or invested millions in making their web pages ‘search engine-friendly’. Artificial intelligence just broke this pipeline.

Shoppers earlier searched for, say, “buy mens running shoes” on Google. Google would throw up links to those websites selling men's running shoes that had optimised their pages better than their competition, while also showing sponsored links to websites that paid money per click to Google.

Now, thanks to AI, Google increasingly answers questions directly on the search page instead of sending users to websites. Product comparisons, buying advice, summaries and recommendations are now generated instantly through ‘AI overviews’. In many cases, users get what they need without ever clicking through to a brand's site. This phenomenon is called the “zero-click internet”. Studies estimate that over half of Google searches end without a click to another website.

Such consumer behaviour is exploding. Millions of people worldwide now just ask ChatGPT whatever they want.

A simple query on ChatGPT, say, “purchase mens running shoes in India”, generates multiple listings, offers, prices, promotions, recommendations on where best to buy, and follow-up questions on what to

look for while buying running shoes, while differentiating on buying parameters because of how men's feet differ from women's.

Soon, ChatGPT will also ask whether you would like it to order a pair on Amazon or Myntra if you share your foot size, and take you directly to the payment page, where you just enter your CVV or OTP and you are done.

This is a tsunami for D2C startups that have modelled their growth engines around search traffic, which hitherto used to be a predictable acquisition channel. Founders invested in SEO, created content, ranked for keywords and steadily grew traffic. AI is compressing that funnel and the

consequence is already visible. Several e-commerce companies are reporting declining search traffic despite strong rankings.

So, what can D2C start-ups do to counter this massive behaviour change that is destroying their business models? We will discuss this in the next column.

Meanwhile, I am watching the fun from the sidelines and waiting for the day ChatGPT will go further and order running shoes for me without asking me for any payment details. Hopefully soon.

The writer is a serial entrepreneur and best-selling author of the book ‘Failing to Succeed’; posts on X @vaitheek

Patenting for plastic circularity

PolyCycl's technology transforms hard-to-recycle plastics into valuable feedstock

Sanjana B

Globally, just under 10 per cent of plastic waste is recycled, leading to nearly 5 billion tonnes of accumulated waste in landfills, oceans, and cities. Much of this waste comprises flexible packaging single-use polythene bags, and food-contaminated plastics that cannot be mechanically recycled.

To address this gap, PolyCycl, a recycling solutions company founded in 2016, has developed a patented thermochemical technology that converts hard-to-recycle plastics into liquefied hydrocarbon oils. The oils, in turn, serve as high-value circular feedstock in the manufacture of low-carbon plastics, renewable chemicals and sustainable fuels.

As Amit Tandon, Founder and CEO, PolyCycl, explains, “Plastics are made from fossil-extracted crude oil processed by petrochemical companies. The crude is refined into derivatives, then used to manufacture plastics. Polyolefins are the most common plastics and consist of carbon and hydrogen. Our technology converts them back into a liquid hydrocarbon form, purifies and upgrades it, and returns it to the



REUSING RAW MATERIAL. Polycycl's demo plant in Chandigarh

petrochemical value chain at its original carbon stage.”

“By transforming discarded plastics into a format acceptable to the point of origin of those materials, we convert an environmental pain into a usable raw material. This creates a true plastic-to-plastic circular pathway, enabling boundless circularity for these materials,” he says.

PolyCycl has eight international patents granted across India and the US, with more in the offing. Its technology is aligned with India's Extended Producer Responsibility framework for plastic packaging, notified in 2022, which

mandates increasing recycling targets and compulsory use of recycled content, including 10 per cent in flexible packaging and 30 per cent in rigid packaging, by 2025–26.

“Our business model is primarily technology licensing. PolyCycl provides the core proprietary process and equipment. The licensee is responsible for financing, constructing and operating the plant. We work with implementation partners like L&T, which supports the development of detailed engineering packages and plant deployment. As the technology provider, our role extends beyond licensing. We

support the execution, commissioning, start-up, stabilisation and performance optimisation of the plant to ensure it operates efficiently and meets expected output standards,” Tandon says.

Key target sectors include the petrochemical industry, which manufactures plastics; the chemical industry, which has the expertise to operate such processing assets; and the waste management sector, which already aggregates plastic waste through municipal contracts. In addition, mechanical recyclers looking to expand into chemical recycling represent a significant opportunity.

PolyCycl in January raised a Series A round from Rainmatter, the investment arm of Zerodha.

The company plans to use the money to advance R&D, establish advanced circularity labs for analysing its hydrocarbon (pyrolysis) oils, and strengthen product-side capabilities by expanding its technical teams.

Over the next decade, PolyCycl aims to enable the recycling of nearly 1.6 million tonnes of waste plastic annually, producing around 1.1 million kilo tonnes per annum of circular pyrolysis oils.

Ability to protect innovations is key

bl.interview

Sanjana B



What is the strength of your current portfolio?

Proprietary IP is a critical criterion in our investment decisions. Encouragingly, IP creation in India has been rising steadily

AMIT CHAND
Founder, BYT Capital

What is your investment thesis?

BYT means ‘building your tomorrow’. BYT Capital is a ₹180 crore early-stage alternative investment fund (AIF) dedicated to investing at the intersection of scientific depth, engineering precision and transformative technology. We are focused on founders building solutions that are scalable, defensible, research-led and globally relevant.

Do you favour early-stage or growth and late-stage funding? What is the average cheque size you deploy?

We usually come in early at pre-seed to seed stage and invest ₹3-4 crore as a first cheque. Then we do a follow-up of ₹16-18 crore, based on

the start-up's milestones. Of the ₹180 crore, we will make 18-20 investments over four years.

Which sectors excite you?

We focus on frontier technologies, defence, MRO (maintenance, repair, and operations), advanced materials, biotechnology, AI in healthcare, clean energy, semiconductors, quantum computing, robotics and industrial automation, and space technology. Broadly, we are tracking 10-12 sectors, analysing how these technologies are being adopted globally.

A significant share of the fund will be deployed in hardware, as India's growth will require a strong

Will more investors focus on IP-led startups as the ‘Make in India’ initiative gains prominence?

As a pure deep-tech investor, we see IP as a critical factor when evaluating startups. We assess whether the company already has IP or the potential to develop one in 2-3 years. Otherwise, it raises questions over the company's ability to differentiate itself and protect its innovations. Proprietary IP is a key criterion in our investment decisions.

Encouragingly, IP creation in India has been rising steadily. Patent filings have grown significantly — from around 3,500 in 2015 to nearly 88,000 in 2024.

DATA BANK.

Dip in microfinance lending and borrowing

The microfinance industry's total loan portfolio (loan amount outstanding) has reduced year-on-year (y-o-y) by 18.3 per cent, or ₹70,620 crore, to ₹3,14,728 crore as on December-end 2025, even as the number of unique borrowers and active loan accounts declined, and the proportion of loans overdue by 180-plus days increased, according to Microfinance Industry Network's (MFIN) report.

The number of unique borrowers declined y-o-y by about 16 per cent (or 1.3 crore in absolute terms) to 6.6 crore, as on December 31, 2025, as per the report, which is based on data from CRIF High Mark (CRIF).

The number of active loan accounts was down by about 24 per cent y-o-y (or 3.4 crore in absolute terms) to 10.5 crore, as on December 31, 2025.

However, the average loan size during Q3 FY26, at ₹60,853, increased by around 20.5 per cent from ₹50,487 during the same quarter a year ago.

Loan overdue in the 180-plus day PAR (portfolio at risk) bucket rose to 17 per cent as at December-end 2025, against 9.7 per cent as at December-end 2024. PAR greater than 180 days means the total principal value outstanding of loans that have at least one payment that is overdue by more than 180 days.

The microfinance industry has various categories of lenders, including non-banking finance company-microfinance institutions (NBFC-MFIs), banks, small finance banks (SFBs), and NBFCs and other MFIs (including non-profits).

As on December 31, 2025, NBFC-MFIs were the largest provider of micro-credit, with loan outstanding of ₹1,32,418 crore, accounting for 42.1 per cent of total industry portfolio.

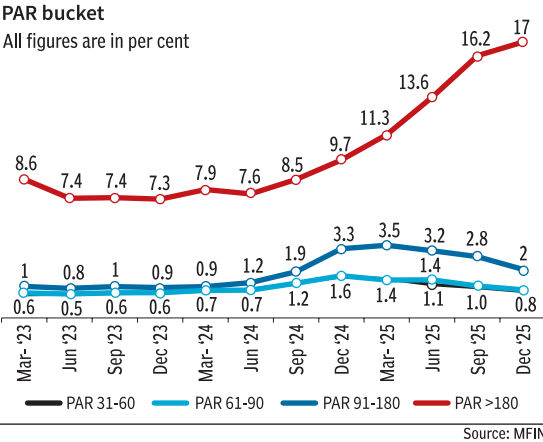
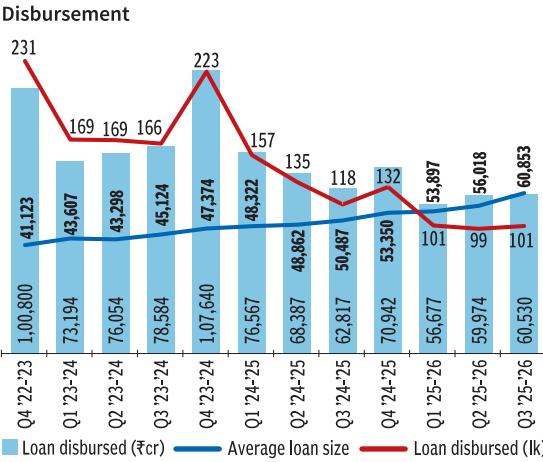
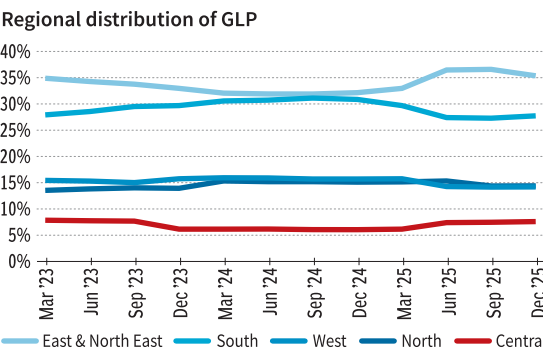
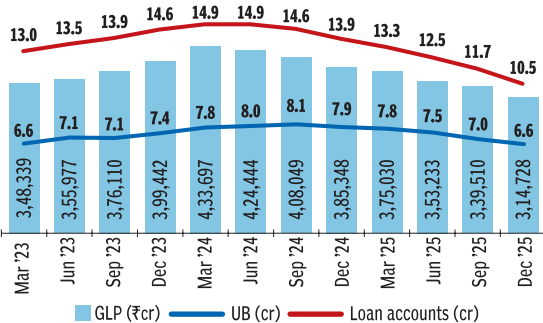
Banks hold the second largest share of micro-credit portfolio, with total loan outstanding of ₹83,905 crore, which is 26.7 per cent of total micro-credit universe.

SFBs have a loan outstanding of ₹55,187 crore, or 17.5 per cent. NBFCs account for 12.5 per cent and other MFIs account for 1.2 per cent of the universe.

Overall status of portfolio, unique borrowers and loan accounts

Type of entity		December 31, 2024				December 31, 2025			
		No. of entities	Unique borrowers (cr)	Active loan accounts (cr)	Portfolio outstanding (₹ cr)	No. of entities	Unique borrowers (cr)	Active loan accounts (cr)	Portfolio outstanding (₹ cr)
NBFC-MFIs	92	3.8	5.5	1,50,282	85	3.2	4.3	1,32,418	
Banks	15	3.3	4.8	1,26,437	17	2.4	3.3	83,905	
SFB	10	1.9	2.2	62,686	10	1.6	1.8	55,187	
NBFC	91	1.2	1.3	43,675	95	1.0	1.0	39,456	
Others		0.1	0.1	2,269		0.1	0.1	3,761	
Total	208	7.9	13.9	3,85,348	207	6.6	10.5	3,14,728	
DPD 0 - 179	208		11.9	3,47,800	207		8.0	2,61,177	

Industry trends: March 2023 to December 2025



Source: MFIN

● IN THE CROSS-FIRE

Marine insurance's added cost of war

CLAIMS RISK. Premiums for marine hull and cargo coverage zoom after attacks on ships in the Strait of Hormuz

Mithun Dasgupta

India's general insurance sector is feeling the heat of the ongoing US-Israel war with Iran, with the conflict spilling over to multiple countries in West Asia.

Shipping activity in the Strait of Hormuz — a vital corridor — has been disrupted and oil shipments remain largely blocked after several tankers were damaged by Iranian strikes. The attacks on ships traversing the Strait of Hormuz have led to a spike in war-risk insurance premiums for marine hull and cargo, as also claims risk. The available insurance capacity has tightened.

Insurance companies have been reassessing marine risk coverage case by case, factoring in vessel routing, ports involved and reinsurer positions.

Primary insurers are either carrying more net exposure or reducing lines on vulnerable voyages.

Where cover is being extended, premiums are aligned with the heightened exposure.

In the first week of March, GIC Re, India's largest reinsurer, and several major global reinsurance companies issued cancellation notices for the coverage of marine hull and cargo war risks under facultative contracts in certain high-risk zones. The domestic reinsurer continues to cover risk under treaty.

The reinsurance cover for marine hull and cargo war risks under facultative contracts have been restored in most cases now, but at substantially higher rates with increased risk exposure.

War-risk marine hull premiums have largely surged by 300-400 per cent, and quotations are now often valid for only 24-48 hours, given how quickly condi-



WARY WATERS. Many ships avoid the Strait of Hormuz as the US-Israel war with Iran rages REUTERS

tions change, industry sources told *businessline*.

WAR RISK POOL

In a bid to provide relief to shipping lines and cargo owners in this difficult period, the Central government plans to create a 'Bharat Maritime War Risk Pool' of \$500 million to \$1 billion. The government will act as the reinsurer to this pool.

The pool would be available for four to six months initially, but is expected to be extended to meet future contingencies. It may cover protection and indemnity (P&I) liabilities of war risk exposure for Indian vessels and cargo transiting the Strait of Hormuz, according to sources close to the development.

The pool would be on the lines of the Marine Cargo Excluded Territories (MCET) pool, which was formed in 2022 for Russian crude transits in the wake of the Russia-Ukraine war

and related sanctions. Managed by GIC Re, it ensures continuity of cover for the Indian insured.

"For our company, the treaty cover with our reinsurer for marine hull and cargo war risks continues because treaties are annual contracts. For facultative contracts, which are on per risk basis, the reinsurers served notices of cancellations, but reinstated them wherever requested, albeit at a higher additional premium," a top official of a large general insurance company said.

"Global reinsurers have adjusted their positions in high-risk regions. We continue to support clients by administering cover and reducing customer risk exposures. We are reviewing risks voyage by voyage, ensuring that, wherever viable, cover is extended with appropriate terms and premium. This balances prudence with customer support," said Amarnath

Saxena, Chief Technical Officer-Commercial, Bajaj General Insurance.

"Insurers have revised rates to reflect current exposures for hull and war risk, while cargo war cover is offered separately at additional rates. These adjustments ensure sustainability of cover and continued protection for clients even in challenging circumstances," he added.

Aviation war coverage remains available so far and is being monitored in line with global market developments.

According to Hari Radhakrishnan, an expert from the Insurance Brokers Association of India (IBAI), even before the current conflict, West Asia was a high-risk area and insurance rates for marine hull coverage were 0.2-0.5 per cent of the valuation of a ship. "Now the rates have risen to 2-3 per cent. So, we can say 300-400 per cent increase," hr said.

● **SHELTERING IN PLACE**

Hedge funds, banks in the UAE hit contingency mode

West Asian war punctures Emirates' reputation for stability in a volatile neighbourhood

Bloomberg

As missiles and drones flew over the United Arab Emirates, traders and Wall Street executives who have flocked to the Gulf in recent years found themselves confronting a threat few expected in a country that had pitched itself as the region's safest hub.

Several hedge funds began reviewing business-continuity arrangements immediately, according to people familiar with the matter. Banks including Goldman Sachs Group Inc, JP Morgan Chase & Co, Citigroup Inc, Commerzbank AG and Nomura Holdings Inc instructed employees to work from home, while others urged staff to shelter in place and avoid sensitive areas around embassies and military installations. Meanwhile, many firms rushed to size up their regional exposure.

The moves came as air defence systems intercepted projectiles over the skylines of Dubai and Abu Dhabi in the first week of March, with debris and smoke visible near high-profile commercial districts and luxury developments, including Palm Jumeirah.

A suspected aerial strike partially damaged facilities at the Dubai International Airport, while debris from an intercepted drone struck a building facade at Etihad Towers, a site housing diplomatic missions in the UAE capital.

The attacks, part of an unprecedented Iranian response to US and Israeli strikes that killed Supreme Leader Ayatollah Ali Khamenei, punctured the long-nurtured perception that the UAE was insulated from the volatility of its neighbourhood. That image has underpinned its rise as a magnet for hedge funds, private capital and global banks.

Singapore-based hedge fund Dymon Asia Capital's senior executives jumped on a call to work out, among other things, what to do if the conflict spir-

"Many shipping companies have declared a *force majeure*, and are cancelling the contract of carriage. They are discharging cargo at the nearest ports and asking consignees to take delivery on their own," he said.

Gaurav Agarwal, Head-Marine Specialities, Prudent Insurance Brokers, said Indian insurers are either restricting coverage or charging additional premiums for shipments to high-risk areas, where protection must be bought back.

"If an airline or lessor wants affirmative war cover (for instance, for flights over exposed airspace), it must be added through endorsement and carries a steep extra premium — again with very short quote validity, when available," he explained.

MINUSCULE SEGMENT

Notably, health and motor insurance together account for more than 70 per cent of the country's non-life insurance premiums, while marine and aviation are around 2 per cent and growing gradually.

"Conflict around the Strait of Hormuz has sharply increased war-risk premiums, claims risk and reinsurance withdrawal, raising costs and reducing profitability, especially for marine hull and cargo," said Sanjay Agarwal, Senior Director, CareEdge Ratings.

Given the huge risks and high volatility in the marine and aviation sectors, insurers typically cede a substantial portion of the underlying risk to reinsurers to limit their net exposure.

"As a significant share of the risk is reinsured, any net claims devolving on insurers would remain modest and unlikely to materially affect their profitability or net worth," Neha Parikh, Vice-President and Sector Head-Financial Sector Ratings, ICRA, pointed out.



BUYING PEACE. Business Bay financial district in Dubai

alled into full-on war. Deputy CEO and Managing Partner Kenneth Kan, who like most Singaporean men had served in the country's armed forces, helped draft guidelines eventually sent to staff across the region.

Affected workers are now checking in daily and maintaining a roster so that the firm can track their travels and assist where needed; hotel rooms have been booked for those unable to leave the city.

"We previously had to deal with Covid and the Hong Kong riots but in terms of wartime-related safety issues, this is a first," said Kan.

Over the past couple of years, Dubai has emerged as a fast-growing hedge fund hub. The DIFC now hosts more than 100 firms, including Millenium Management and ExodusPoint Capital Management, while others, like Ken Griffin's Citadel, have outlined plans to expand there. Abu Dhabi is also scaling up, with Hudson Bay Capital Management, Marshall Wace and Arini setting up offices, and an entity based in the emirate taking a minority stake in Brevan Howard Asset Management.

At the same, buyout firms like Blackstone Inc, Brookfield Asset Management and BlackRock Inc have also been adding resources and ramping up deal-making in the region.

Attacks on Dubai and Abu Dhabi may challenge that momentum, though KKR & Co said the region had strong structural fundamentals and remains important.

Women-led commerce

As 'bank mitras', how women in villages can turn into wealth creators



SEEMA PREM

India's growth story will be defined by not only its digital infrastructure and capital markets, but also how effectively it converts financial access into economic agency, especially for rural women. Over the past decade, an extraordinary foundation has been laid. Under the Pradhan Mantri Jan Dhan Yojana, more than 57 crore bank accounts have been opened, of which over 32 crore belong to women. This represents one of the biggest financial inclusion shifts in history, delivered through a last-mile network of more than 13.5 lakh 'bank mitras' — customer service points that act as local bank representative or agent — serving rural and semi-urban India.

Yet, access alone does not equal empowerment. A significant number of women still rely on male relatives to operate their bank accounts.

Social norms, mobility constraints and the gender gap in digital confidence continue to limit direct engagement.

The implication is clear: The next phase of inclusion must move beyond account ownership to usage and income generation.

The government's 'One Gram Panchayat, One Business Correspondent Sakhi' initiative recognises that women are more likely to transact, save and borrow when served by women agents. There are over 10 crore women already organised into self-help groups (SHGs), of whom 4 crore have the potential to become '*lakhpati didis*' — earning sustainable monthly incomes of ₹10,000 or more through activities, such as agriculture value-addition, micro-enterprises, and allied livelihoods.

MULTIPLIER EFFECT

The Union Budget's proposal to establish self-help entrepreneur (SHE) marts is significant. These community-owned retail platforms are not merely market access points but also economic accelerators.

By combining market linkage with innovative financing, they



DELIVERING MONETARY SECURITY. Women banking agents help bridge the gap between formal finance and rural households MS SRINATH

can convert decentralised production into organised rural commerce. The multiplier effect is substantial: When women's incomes rise, rural consumption improves, nutrition outcomes strengthen, and household investments in education and healthcare increase.

However, this calls for strengthening the ecosystem around women banking agents — the operational bridge between formal finance and rural households. Evidence shows what is possible. In Uttar Pradesh alone, nearly 40,000 women bank mitras serving SHG members have facilitated transactions exceeding ₹31,000 crore. To scale up this impact nationally, coordinated action is needed across financial institutions and government stakeholders.

First, reduce entry friction — recruitment processes for women agents must be simplified, with faster onboarding.

Second, lower start-up costs — a traditional banking correspondent setup can cost nearly ₹1 lakh, putting it beyond the reach of many rural women. Lightweight handheld devices capable of basic transactions can dramatically expand participation while maintaining compliance and security standards.

Third, solve mobility constraints — many women agents depend on spouses for the commute to bank branches for cash management or reconciliation. Access to flexible two-wheeler financing can significantly improve productivity.

Fourth, institutionalise continuous capacity building — video modules delivered on mobile platforms in local languages

can provide ongoing training, product knowledge and peer learning.

Fifth, expand earning pathways: When women agents move beyond cash-in/cash-out services to higher-value offerings, such as loan sourcing, insurance distribution and SHG digitisation, the role becomes a primary livelihood rather than a supplementary income. This transition is critical for retention and scale.

HANDHOLDING

The government can reinforce these efforts through targeted facilitation. Joint recruitment drives by corporate business correspondents and rural livelihood missions can identify motivated candidates in SHGs. Structured handholding during the first year — when dropout risk is highest — can stabilise new entrants.

India has already built the rails of financial inclusion: Digital identity, interoperable payments, direct benefit transfers and an extensive agent network. The next leap is to ensure these rails carry entrepreneurial activity, not just transactions. Rural women represent the single largest untapped economic multiplier in this system.

When women transform from welfare recipients to wealth creators, the impact is systemic. Financial institutions gain deeper market penetration and higher product adoption. Local economies benefit from increased liquidity and enterprise formation. Households gain resilience. And the nation moves closer to an inclusive growth that is both scalable and sustainable.

The writer is Co-founder and CEO, FIA Global

